



UMEME
Powering Uganda

**Umeme Investor Presentation
October 2016**

Umeme - powering Uganda

- Twenty year concession to distribute electricity in Uganda (running to 2025)
- Contracted net **US\$ return of 20%** p.a. on investment
- Regulated by the Electricity Regulatory Authority with energy losses target, collections target and operating cost allowance agreed through to 2018
- Single buyer model with Government of Uganda Support Agreement
- Secure cash flow: over 70% revenues from industrial, commercial and government customers
- Diversified investor base with listing on Uganda & Nairobi Securities Exchanges
- Incentivised management team
- 50% dividend payout policy

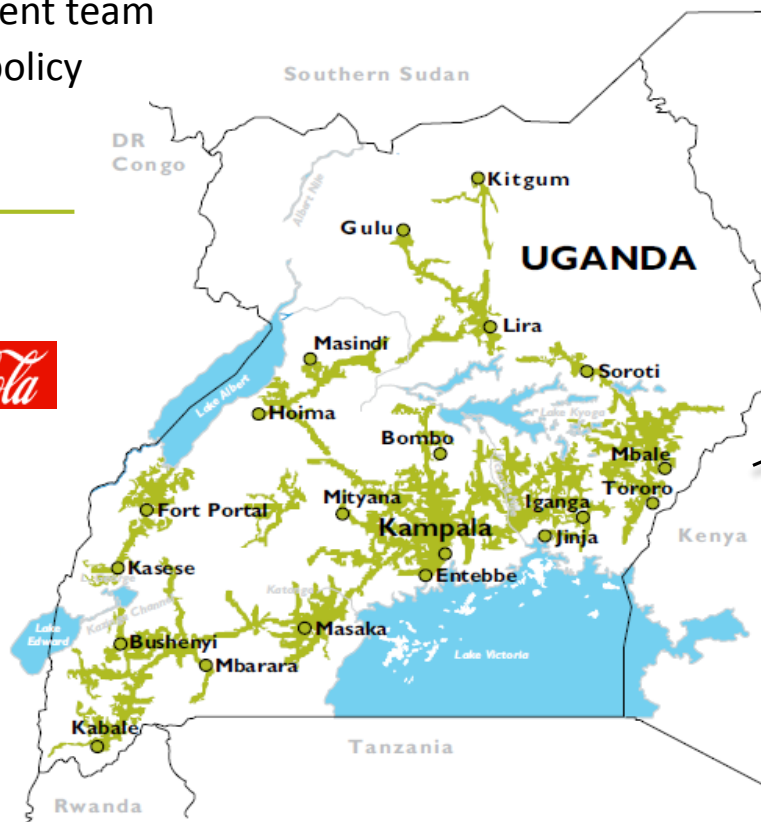
Blue chip customer base



DIAGEO

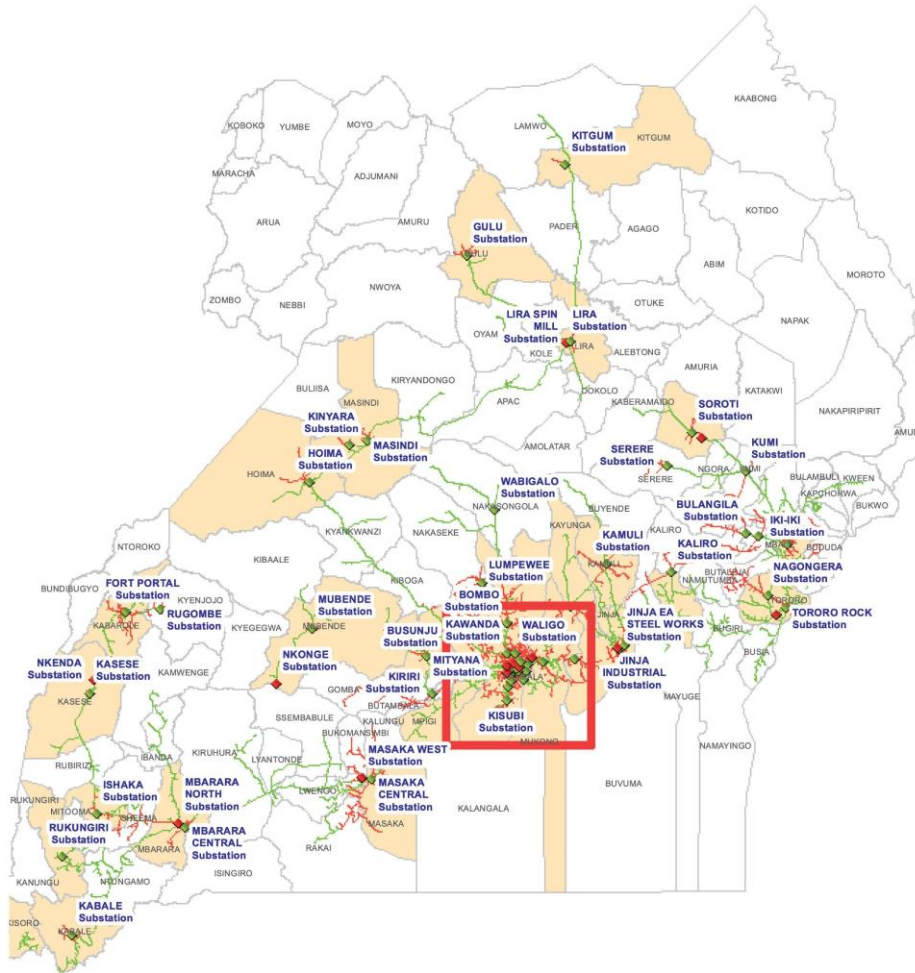


TIAN TANG GROUP

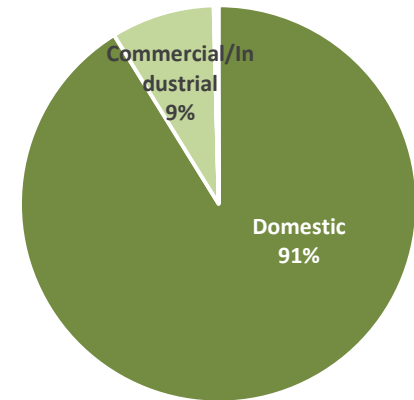


Umeme – Footprint & Customer Mix

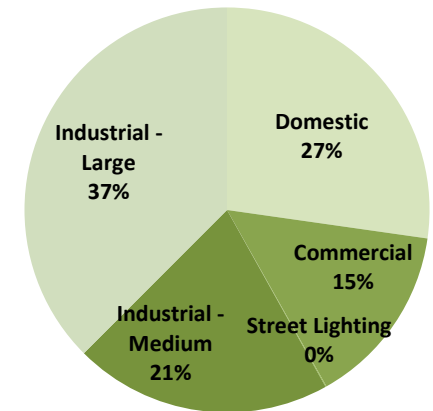
- 25 district offices across 4 regions



Customer Breakdown (%)

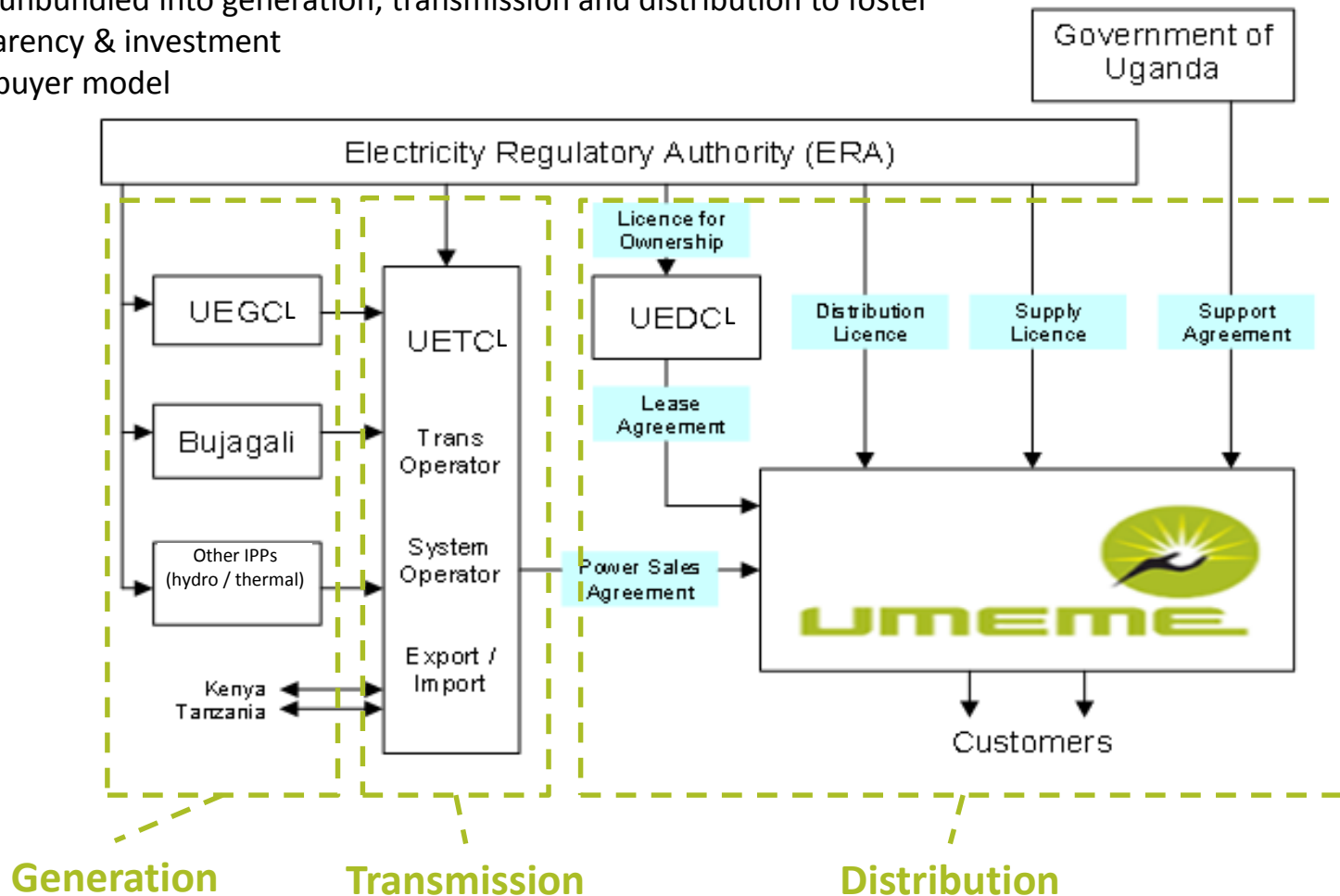


Revenue Contribution (%)



Uganda's power sector

- Uganda's electricity sector was liberalised in 1999, supported by World Bank
- Sector unbundled into generation, transmission and distribution to foster transparency & investment
- Single buyer model

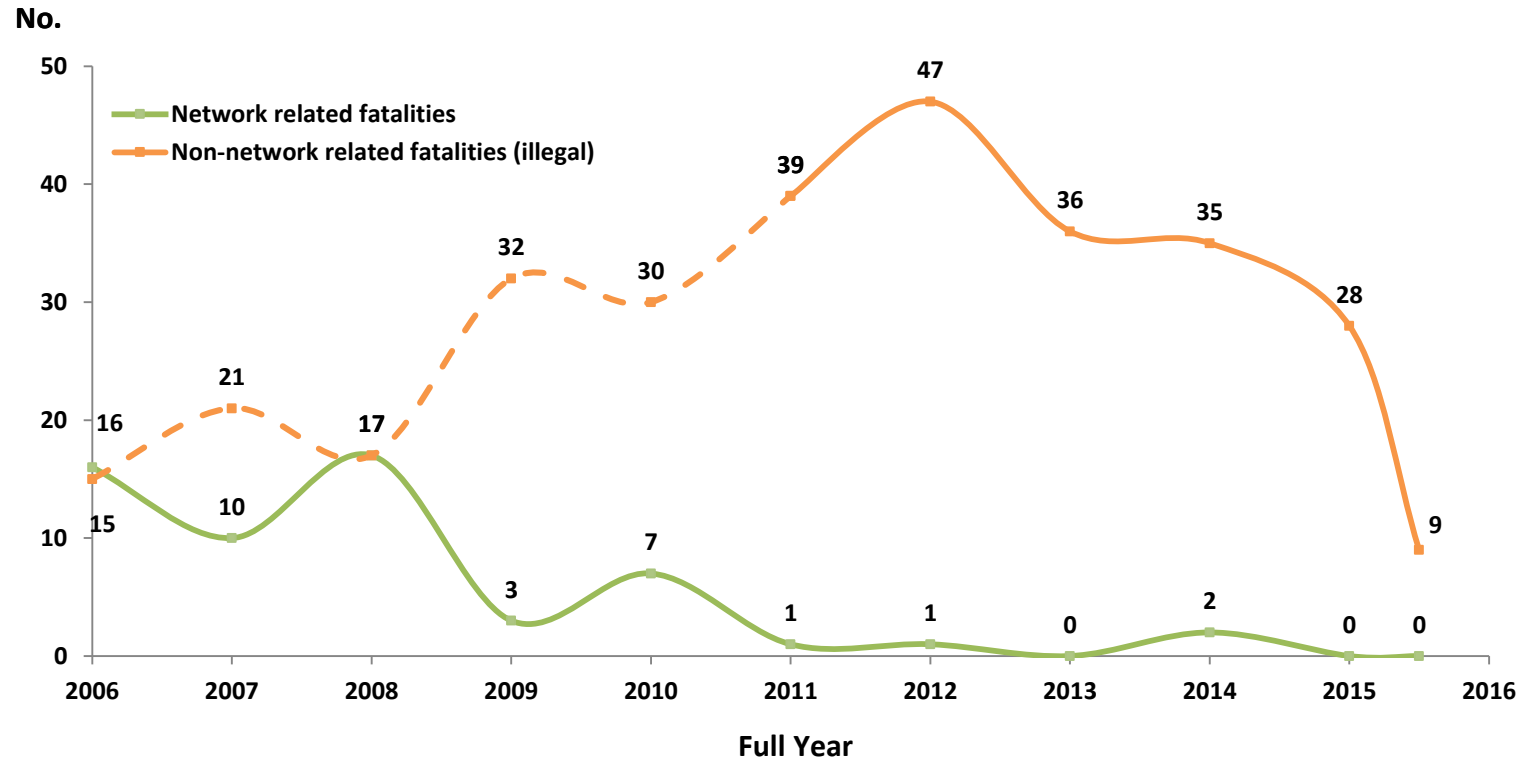


Umeme Value Drivers

- Capex & performance against regulatory targets drive EBITDA growth



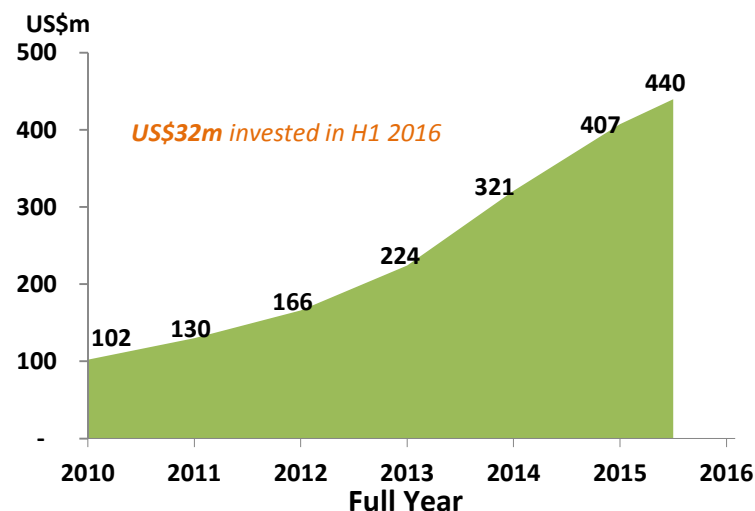
Safety: Zero network related fatalities in H1



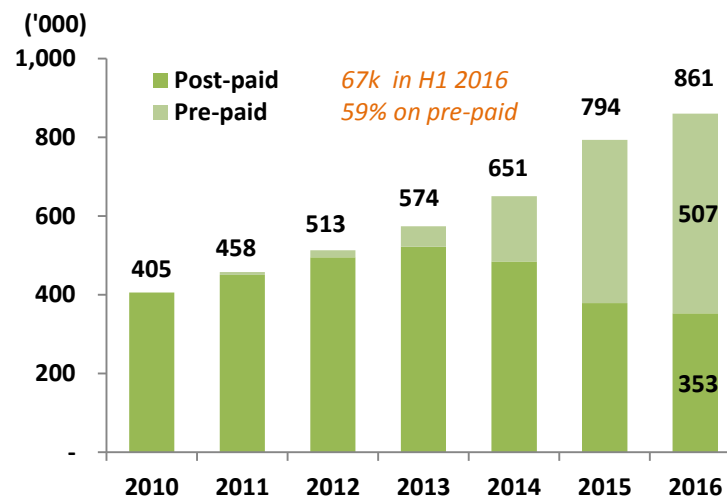
Non-network fatalities incl. power theft, domestic electrics, network interference, way-leaves encroachment and unauthorized operations

Investing in service & growth

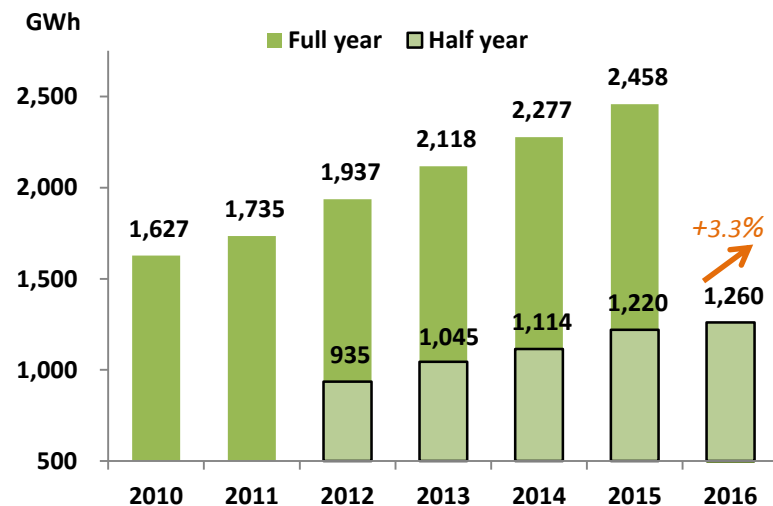
Capital Investment (Cumulative)



Customer numbers +21% in LTM



Sales (GWh)

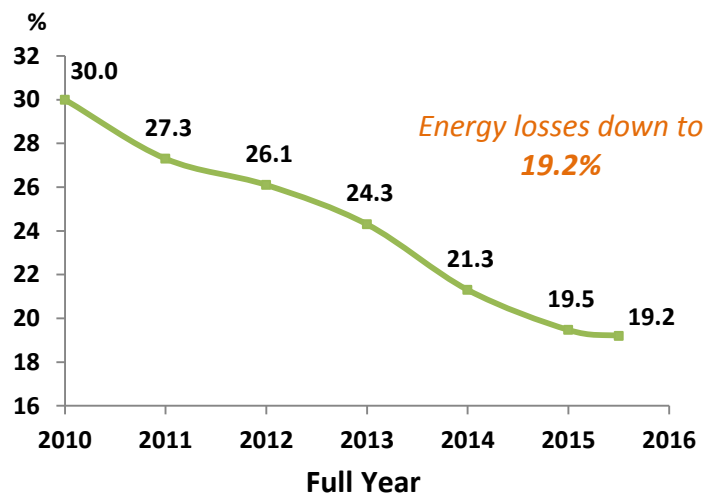


Customers & Sales Growth

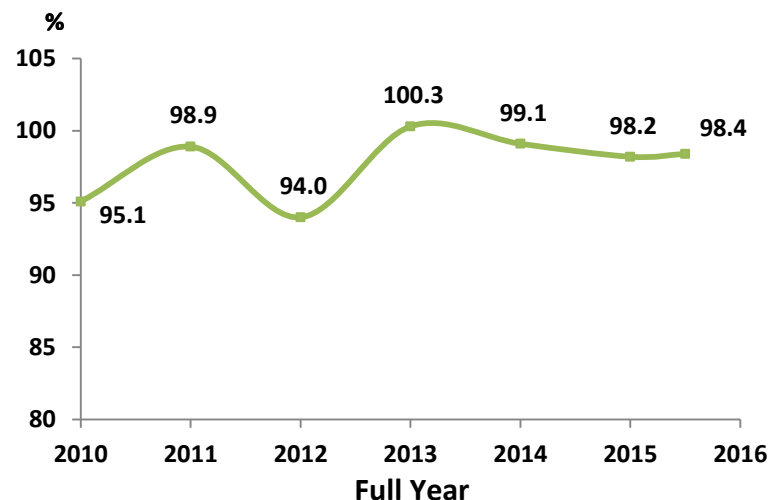
Category	Customers			Sales		
	No.	Share	Growth	GWh	Share	Growth
Domestic	785,308	91.3%	+21.0%	287	22.7%	-1.2%
Commercial	71,969	8.4%	+17.0%	158	12.5%	+3.8%
Street Lighting	304	0.0%	-6.2%	0.7	0.1%	-14.9%
Industrial - Medium	2,459	0.3%	+4.5%	209	16.6%	+4.1%
Industrial - Large	523	0.1%	+6.3%	607	48.1%	+5.2%
Total	860,563	100%	+20.6%	1,260	100%	+3.3%

Regulatory targets

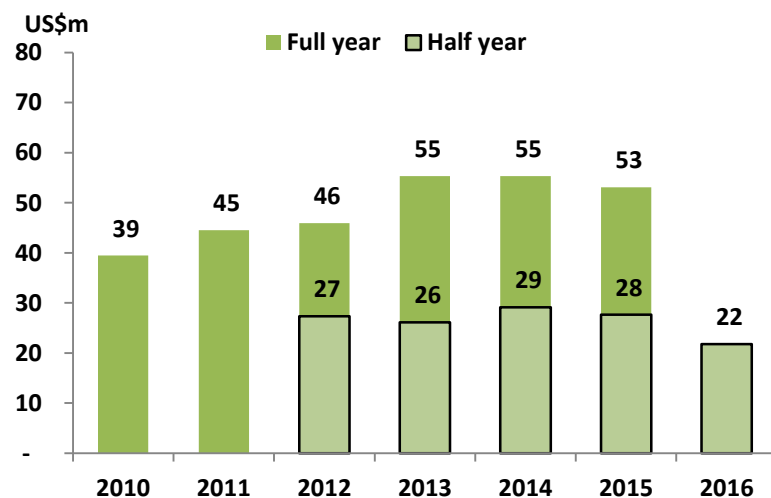
Energy losses



Revenue collection



Operating costs



Agreed regulatory targets*

Tariff parameter		'13	'14	'15	'16	'17	'18
Energy losses (%)		23.5	20.5	18.6	17.1	15.9	14.9
Collection rate (%)		97.3	97.5	97.7	97.9	98.2	98.5
Operating allowance (US\$m) **	Nominal	43.8	44.5	45.9	47.4	48.9	50.4

* Umeme financial year (Jan-Dec)

** Allowance is adjusted annually for international and local inflation

Financial performance

Financial statement summary

US\$ m, Ushs bn H1 2016 H1 2015* %ch

Summary income statement

Revenue	US\$	195	184	+6%
	<i>Ushs</i>	<i>659</i>	<i>548</i>	<i>+20%</i>
Cost of Sales	US\$	(132)	(116)	+13%
	<i>Ushs</i>	<i>(446)</i>	<i>(347)</i>	<i>29%</i>
Gross Profit	US\$	63	67	-7%
	<i>Ushs</i>	<i>212</i>	<i>201</i>	<i>+6%</i>
Operating Costs	US\$	(25)	(31)	-19%
	<i>Ushs</i>	<i>(84)</i>	<i>(92)</i>	<i>-8%</i>
EBITDA	US\$	39	38	+3%
	<i>Ushs</i>	<i>133</i>	<i>113</i>	<i>+17%</i>
Finance Costs (ex lease)	US\$	(6)	(5)	+13%
Profit Before Tax	US\$	24	25	-5%
Tax Rate	%	32%	9%	
Profit After Tax	US\$	16	23	-29%
	<i>Ushs</i>	<i>54</i>	<i>68</i>	<i>-19%</i>

Financial position at

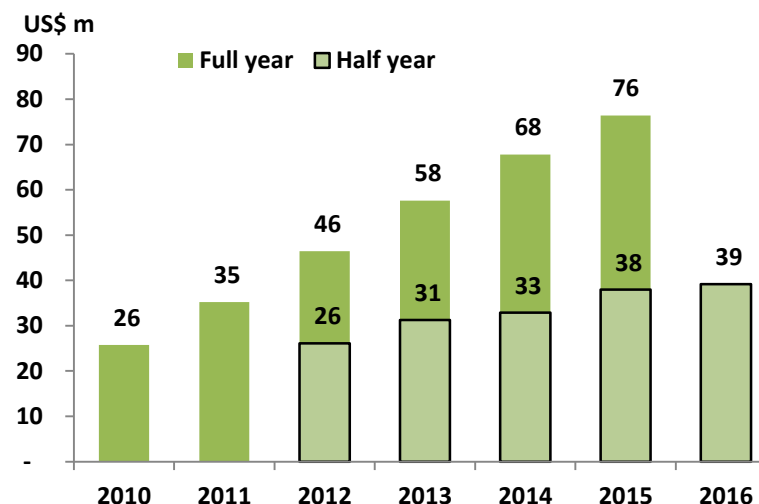
		H1 2016	FY 2015	
Total Assets	US\$	552	526	+5%
Shareholders Equity	US\$	153	149	+3%
Net Debt	US\$	175	142	+23%

Per share data (Ushs)

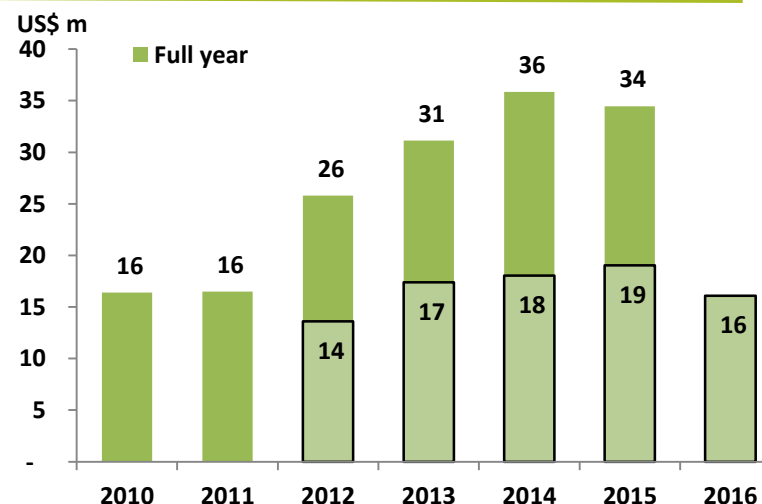
	Ushs	Ushs	
Earnings	33.6	41.7	-20%
Interim Dividend	11.0	10.8	+2%

* 2015 figures are unaudited and conformed to the USD functional currency

EBITDA (US\$)



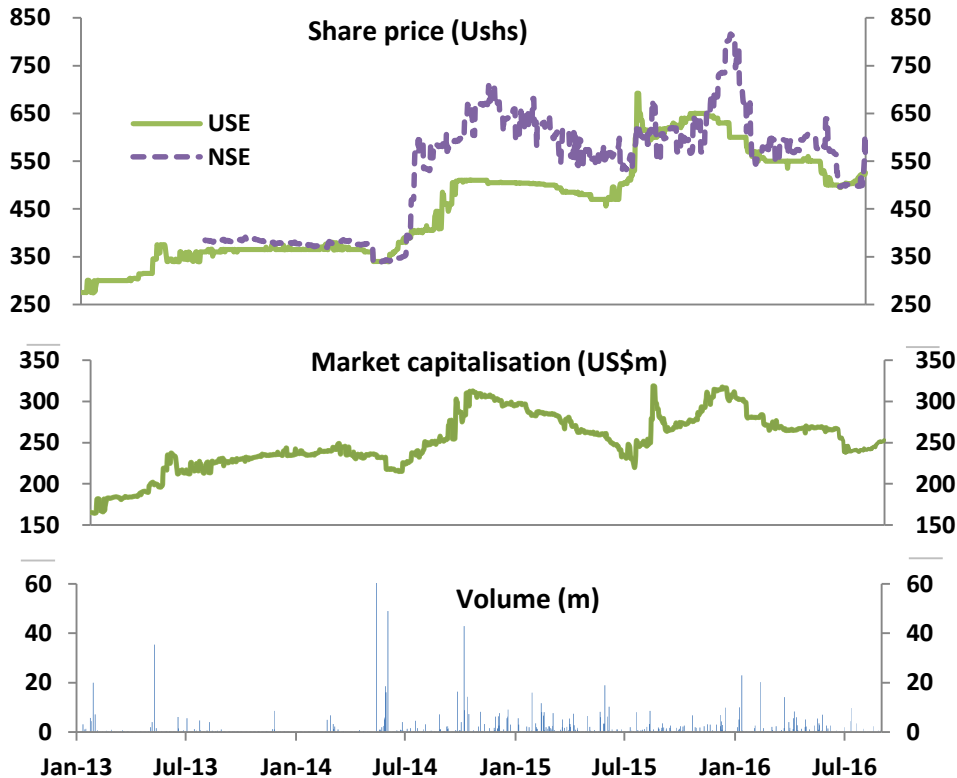
Profit after tax (US\$)



FY10-14 adjusted for unrealized FX losses

Trading update

Market cap US\$253m at Ushs 526 share price



TOP 20 SHAREHOLDERS (AUG 2016)		%
1	NATIONAL SOCIAL SECURITY FUND	15.7%
2	UMEME HOLDINGS LIMITED & NOMINEES	14.3%
3	KIMBERLITE FRONTIER AFRICA FUND	5.8%
4	ALLAN GRAY AFRICA FUNDS	5.4%
5	INVESTEC FUNDS	4.9%
6	ASHMORE FUNDS	3.4%
7	DUET FUNDS	3.3%
8	UTILICO EMERGING MARKETS LIMITED	3.2%
9	INTERNATIONAL FINANCE CORPORATION	2.8%
10	KATTAGAT TRUST	2.0%
11	BOUTIQUE COLLECTIVE INVESTMENTS	1.6%
12	T. ROWE PRICE	1.3%
13	IMARA	1.3%
14	CENTRAL BANK OF KENYA PENSION FUND	0.9%
15	VANDERBILT UNIVERSITY	0.9%
16	CONRAD HILTON FOUNDATION	0.9%
17	POHJOLA BANK PLC	0.9%
18	OLD MUTUAL	0.8%
19	KUWAIT INVESTMENT AUTHORITY	0.8%
20	BYARUHANGA WILLIAM	0.8%

	Jun-16 ⁽¹⁾	At IPO
P/E	9.3x	10.8x
EV/EBITDA ⁽²⁾	5.6x	3.9x
P/(Buyout amount less net debt) ⁽³⁾	1.2x	1.2x
Dividend Yield	7.0%	-
Return on unrecovered investments (US\$) ⁽⁴⁾	15%	16%

Notes

⁽¹⁾ Actual 12 months to 30th June 2016

⁽²⁾ EBITDA excludes finance income/cost & FX gain/loss. Includes interest on bank deposits

⁽³⁾ Indicative assuming GoU termination premium of 20% of unrecovered investment

⁽⁴⁾ Calculated on prior year unrecovered base. As at FY15

CATEGORY (AUG 2016)	%
INTERNATIONAL FUNDS	43.2%
AFRICA FUNDS (EX. EAST AFRICA)	16.4%
UGANDA INSTITUTIONAL	18.6%
EAST AFRICA INSTITUTIONAL	13.6%
UGANDA RETAIL	5.9%
DIRECTORS & EMPLOYEES	1.7%
OTHER	0.6%
	100.0%

Summary & Outlook



- Closure of Amendment 2&4 plus recognition of investments
- Investments in line with sector growth
- Concession Renewal
- Revised strategy on technical and commercial losses reduction
- Performance-based incentive schemes

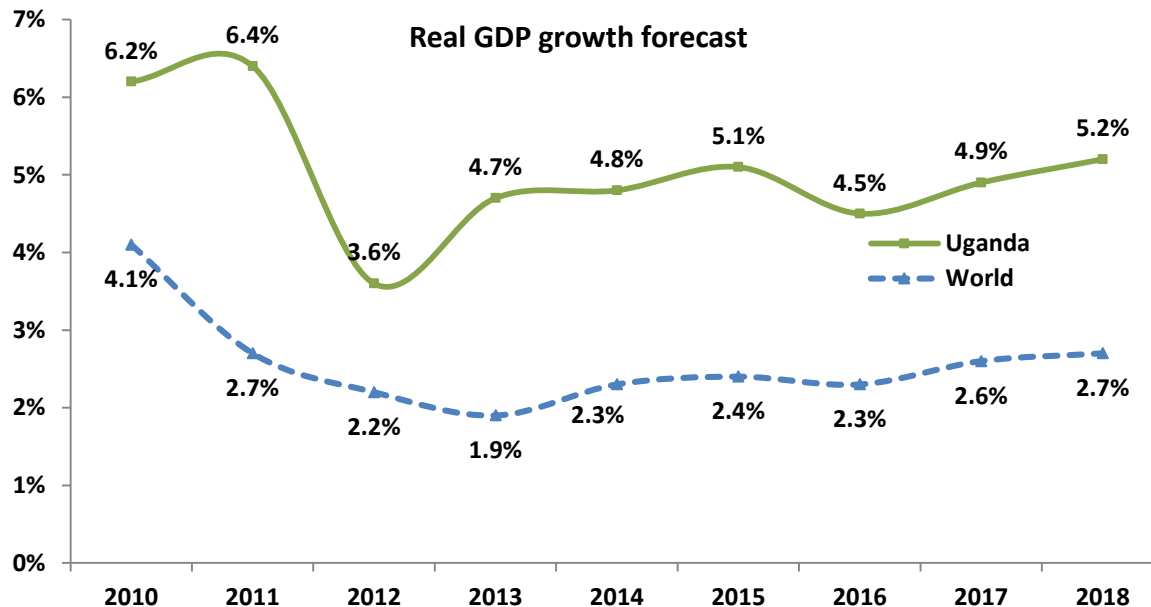
Appendices



- Appendix 1: Uganda's macroeconomic outlook
- Appendix 2: Generation Pipeline
- Appendix 3: Generation overview
- Appendix 4: Karuma & Isimba Projects
- Appendix 5: Tariff analysis
- Appendix 6: Sector Outlook
- Appendix 7: UETCL Transmission Backbone

Appendix 1: Uganda's macroeconomic outlook

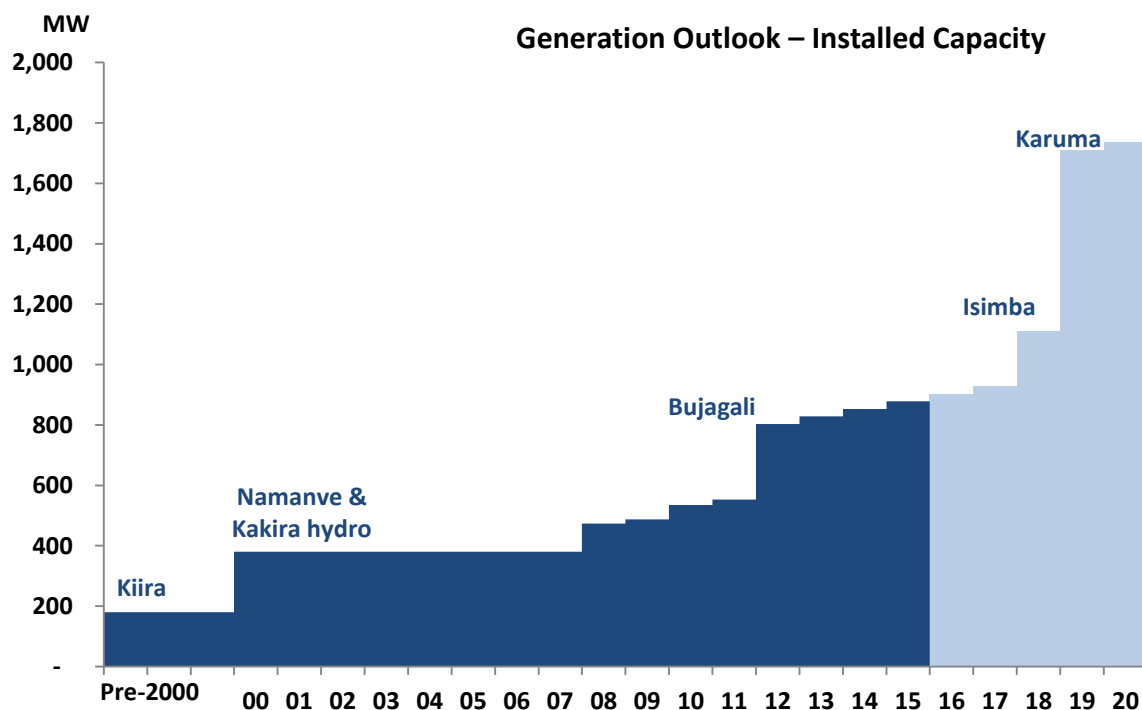
Positive outlook for economic growth



- “Real GDP growth is forecast at 4.5% in 2016, with high government spending offset by sluggish private sector activity. Real GDP growth is expected to rise to 5.2% in 2018.
- Economic growth will be relatively broad-based, with telecommunications, financial services and transport continuing to perform well. Investment in infrastructure will be a key driver of growth, with the construction industry expected to expand rapidly.”

Appendix 2: Generation Pipeline

Strong Generation Pipeline +1000 MW



Generation pipeline

Large-hydro:

- ✓ Karuma - 600 MW (40% completed)
- ✓ Isimba - 183 MW (47% completed)
- ✓ Agago-Achwa – 83 MW
- Ayago - 600MW
- Orianga - 400MW
- Kiba - 290MW
- Agago-Achwa – 83 MW
- Muzizi - 44MW

Mini-hydros (GET-FIT): 156.5 MW inc.

- ✓ Siti I – 5 MW
- ✓ Waki – 4.8 MW
- ✓ Lubilia – 5.4 MW
- ✓ Rwimi – 5.5 MW
- ✓ Muvumbe – 6.5 MW
- ✓ Nyagak 3 – 5.4 MW

Other

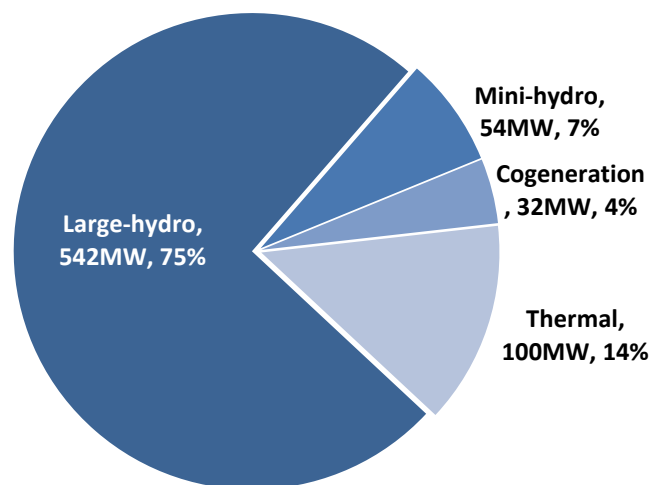
- ✓ Soroti Solar – 10 MW
- Tororo Solar – 10 MW
- Siti II - 16.5 MW
- Kikagati – 16 MW
- Kabale Peat plant 33 MW
- Kabale geothermal 30MW

Source: Umeme, UETCL, MEMD

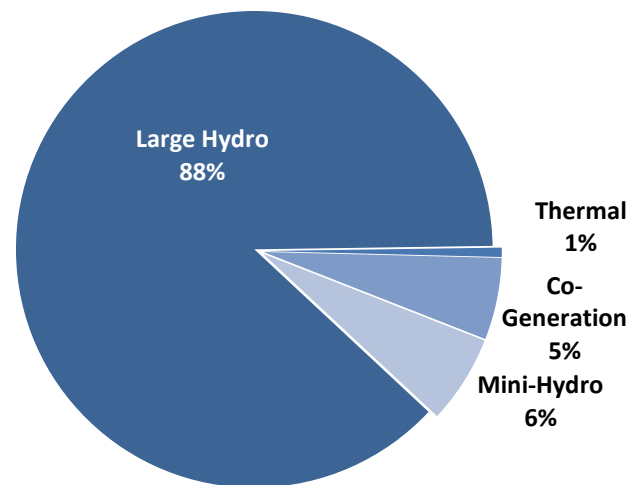
Appendix 3: Generation overview

Peak demand c.540MW

Energy supply mix (Effective Generation)



Average Monthly Dispatch



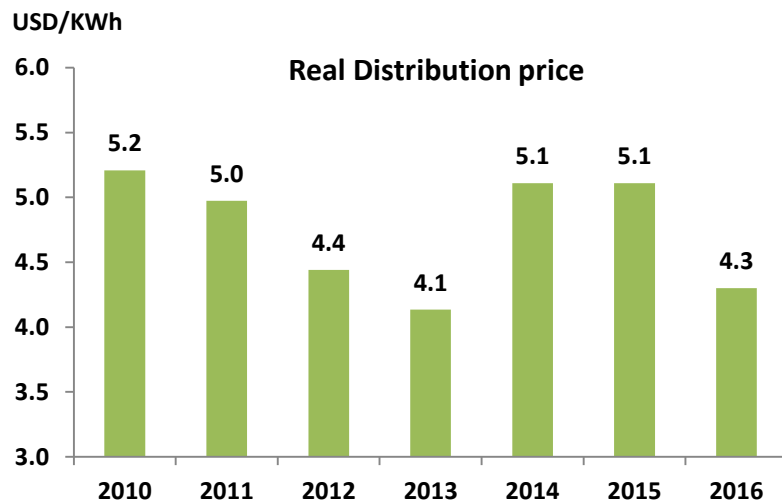
Appendix 4: Karuma & Isimba Projects



*Isimba Hydropower project
Status: 47%
Commissioning: 2018*

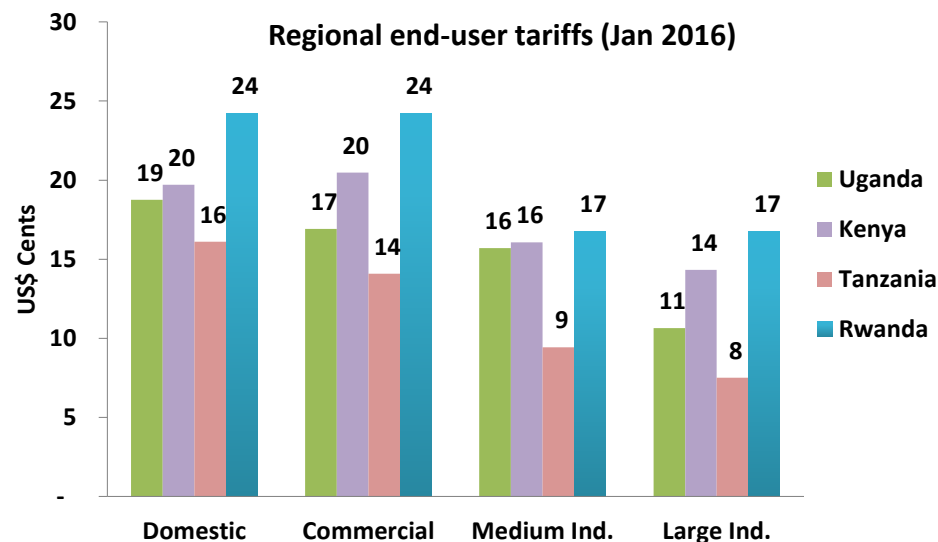
*Karuma Hydropower project
Status: 40%
Commissioning: 2019*

Appendix 5: Tariff analysis



Uganda's tariffs are competitive regionally and cheaper than Kenya across domestic, commercial and large industrial customers

Umeme distribution price is <30% of end-user tariff



Sources: Electricity Regulatory Authority Uganda, Electricity & Water Utilities Regulatory Authority Tanzania, Electricity Regulatory Commission Kenya, EWSA Rwanda. Data collected as at January 2016 and converted using Bank of Uganda official COMESA exchange rates to US\$

Appendix 6: Sector Outlook

- Increasing Access (current 20.4%)
 - 30% - 2020
 - 80% - 2040
- Industrialization Dive
 - Industrial Parks
 - Namanve
 - Luzira
 - Mukono
 - Iganga
 - Competitive power prices
 - Cement, Steel, Infrastructure spending to drive demand



UGANDA ELECTRICITY TRANSMISSION COMPANY LIMITED (UETCL)

Construction of Shs300bn Industrial parks power substations commence

The Government of Uganda through the Uganda Investment Authority (UIA) has established 22 Industrial Parks in selected areas in the country with the objective of promoting industrialization. To achieve this objective, UIA has acquired land in various places and is at various stages of planning and development. Among these is the provision of infrastructure which includes roads, water, power and waste disposal facilities.

Several investors have been allocated land on concessional terms, to establish their businesses in the new created industrial parks and have established industrial facilities ready to commence production.

Establishing businesses in the industrial parks will require adequate, reliable and efficient power supply to meet the vital Small, Medium and Large Scale industrial loads. To achieve this objective, the Government of Uganda (GoU) through its implementing agency the Uganda Electricity Transmission Company Limited (UETCL) has handed over project sites for the industrial parks power substations and related transmission lines to a Chinese firm CAMC Engineering company Ltd construct four industrial park substations at Luzira, Namanve south, Mukono and in Iganga. UETCL has also engaged the services of an independent supervising consultant NEK Consults to supervise the project that is expected to be commissioned in 2018.

According to the UIA, some of the investors that have acquired land at the various industrial parks are at advanced stages of planning and have established industrial facilities ready to commence production. These include the following:

Iganga Industrial park	Mukono Industrial park	Namanve south Industrial park	Luzira industrial park
Timbo Steels	Tian Tang Steel Works	Koofings	Surghpharm
Steel Corporation of East Africa	Timbo Steels at Lugazi	Uganda Research Institute	Ministry of Tourism
PHI Steel	Karuma Cement Industries	Mukwano	Quality Chemicals
Bidco	Abilaha Steel	Steel and Tube Industries	Active Pharmaceuticals
Bavima	National Water Kasesa	Three Way Shipping	Transuper
Tesco Industries			Sera Engineering Works
Mayuge Modern Steel		Viney Coffee Company	Graphic Systems
Nile Agro			Woodworks
			Kanloyd Logistics
			Besise Investments Ltd
			Uganda Cleaner Production Centre
			Aponye (U) Ltd
			Pipeline Design & Foam
			Engen Uganda Ltd



Eng. Eriasi Kiyemba - MD/CEO

Kiyemba says that with the rapid growth in energy demand since 2005 when the country faced an electricity crisis, Government has therefore undertaken to construct the Karuma and Isimba Hydropower Projects to mitigate future energy supply shortages.

He says that the industrial parks power substations and related 38km of transmission lines are therefore justified on the reason that the existing 33kV distribution infrastructure is not able to meet the required future power demand for the growing industrial parks.

Once completed, the project benefits will include reduction of network losses due to the more efficient transmission of power on the 132kV voltage level compared to the current distribution of energy on 33kV level. There will be minimal diesel generation in industrial Parks because of the reliable and efficient power supply by UETCL. Other benefits will include an increase in income-generating activities, increase in grid coverage and the electrification rate.

The total project cost for construction of the four industrial parks substations and related transmission lines is US\$ 999,975,085.35. The project cost financing terms according to the loan agreement between the Government of Uganda and the China Exim Bank is that 15% of the project costs totalling US\$ 14,996,383.80 million will come from the Government of Uganda and a loan of 85% of the project cost totalling US\$ 84,979,502,548 will come from the China Exim Bank and shall be re-payment in a period of Fifteen Years with a three year grace period. The other attendant costs for the Resettlement Action Plan (RAP) will come from the Uganda Energy Fund.

In March 2013, H.E the President of Uganda, Yoweri Kagame Museveni and His Excellency Xi Jinping, President of the Peoples' Republic of China, at the BRICS Summit meeting held in South Africa agreed on terms and conditions of the financing

UETCL Managing Director/CEO Eng. Eriasi Kiyemba says that the industrial parks power project will provide load centres for power that will be generated at the Karuma 600MW and Isimba 183MW Hydro Power Plants. "In other words the sustainability of investments on Karuma and Isimba Hydro Power Plants depends a lot on the industrial park substations project being implemented" he said.

